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15/09/26

Profit and Gains of Business or Profession (PGBP)
Sec. 26 to 66

Example taken: printing press business

* **Sec. 26:** Income under heads of PGBP

(1) Incomes referred in (2) shall be chargeable to income tax under the head PGBP.

(2) such income shall include

(a) Profits and gains at any time during the TY; (from any business or profession)

→ Business - Trade, commerce, manufacture, any adventure ↓ allied activity or concern in such nature.
→ inclusive definition

(3) Where speculative transactions carried on by an assessee are of such nature to constitute a business, the business (herein referred to as speculation business) shall be deemed to be distinct and separate from any other business.

→ Buying - selling of stocks

- In present case, printing press is different from speculation in paper.

4) Any income from letting out of a residential house or a part of it by the owner shall not be included in income under sub-section (1) and shall be chargeable only under the head "Income from house property".

(2) b) any compensation or other payment, due to, or received, by any person by whatever name called,—
(i) wholly or substantially managing the affairs—
(A) of an Indian company; or
(B) in India, of any other company; or
(ii) holding any agency in India for any part of business activities of any other person; or

- Publication house gives 3 year contract to printing press pan India. (exclusive printing rights)
- If publisher terminates the contract prematurely, then printing press shall suffer losses.
- The compensation paid due to this condition is taxed gain from business or profession.
- "contract related to business" - printing press wants to procure an offset machine. As per contract, the delivery is delayed. Offset machine is a capital expense for business. Thus, the contract is related to the business.

c) any compensation or payment, due to, or received by, any person for vesting of the management of any property or business, in the Government including any corporation owned or controlled by the Government under any law in force;

d) income derived by a trade, professional or similar association from specific services performed for its members;
e.g. FICCI

(e) profits on sale of import licence, cash assistance against export, duty drawback or duty remission or any other export incentive, received or receivable;

Refund / discount on custom duty

Capping related to amount equivalence of import of certain goods

[Sale of such licence will bring a profit of the amount that will be earned as profit from that import.]

06/10/26

* General principles for Computing PGBP -

- Business or profession must be carried on by the assessee/agent/servant
- Profit in commercial sense includes loss as well.
- Deduction for the loss should be normal rule.
- Expenditure & losses are two different things

Madras Industrial Investment V. CIT

Thus "expenditure" is not necessarily confined to the money which has been actually paid out. It covers a liability which has accrued or which has been incurred although it may have to be discharged at a future date. However, a contingent liability which may have to be discharged in future cannot be considered as expenditure.

- Profit has to be real and not notional or fictional.
- Some expenditures may not be allowed as deductions.
- No-deal in a year. still be a business
- Profits of tax year are chargeable
- Total income is computed after calculating each business' profit separately.
- Investment of surplus fund is not business, except in the money lending business.
- FDs as guarantee/security for loan, and interest on it is business income.

- Capital receipts are not profits unless expressly considered by legislation.
- Trading receipts in nature of ancillary receipts have to be taken into consideration as profits from business.

☆ Allowances and Deductions: General principles

- 28-33 talk about specific deductions.
- general rule set up in 34.

General conditions for allowable deductions.
34. (1) Any expenditure (not being an expenditure of the nature specified in sections 28 to 33, 44 to 49, 51 and 52 and not being in the nature of capital expenditure or personal expenses of the assessee), laid out or expended wholly and exclusively for the purposes of the business or profession shall be allowed in computing the income chargeable under the head "Profits and gains of business or profession".
(2) For the purposes of sub-section (1), an expenditure laid out or expended wholly and exclusively for business or profession by the assessee shall not include any of the following:—
(a) an expenditure incurred for any purpose which is an offence or is prohibited by law; or (bribe)
(b) an expenditure incurred on the activities relating to corporate social responsibility referred to in section 135 of the Companies Act, 2013 (18 of 2013); or (It is application of income/net profit)
(c) an expenditure incurred on advertisement in any souvenir, brochure, tract, pamphlet or the like, published by a political party.

- Expenditure, even if not mentioned but a nexus exists with business, it is deductible. (see below sugar factory case)

e.g. insider trading - speculation business: offence under SEBI Act

(3) The expenditure mentioned in sub-section (2)(a) shall include expenditure incurred for—
(a) any purpose which is an offence under, or is prohibited by, any law in force in or outside India; or
(b) providing a benefit or perquisite in any form to a person, who may or may not be carrying on a business or exercising a profession, when its acceptance by the person is in violation of any law or rule or regulation or guideline governing the conduct of that person; or

L.B. Sugar Factory and Oil Mills v. CIT UP

Nexus of expense with business

What is material to consider is the nature of the advantage in a commercial sense and it is only where the advantage is in the capital field that the expenditure would be disallowable on an application of this test." If the advantage consists merely in facilitating the assessee's business operations or enabling management and conduct of the assessee's business to be carried on more efficiently or more profitably while leaving the fixed capital untouched, the expenditure would be on revenue account, even though the advantage may endure for an indefinite future.

- Sec. 28

Rent, rates, taxes, repairs and insurance.
28. (1) The following amounts shall be allowed as deduction in respect of premises, machinery, plant or furniture used for the purposes of the business or profession:—
(a) any premium paid in respect of insurance against risk of damage or destruction thereof;
(b) land revenue, local rates or municipal taxes paid;
(c) rent paid, when the premises are occupied by the assessee as a tenant;
(d) amount paid on account of current repairs to the premises, not being in the nature of capital expenditure, when the premises are occupied by the assessee otherwise than as a tenant;
(e) amount paid on account of cost of repairs, not being in the nature of capital expenditure, when the premises are occupied by the assessee as a tenant and where he has undertaken to bear the cost of repairs to the premises;

f) the amount paid on account of current repairs to machinery, plant or furniture, not being in the nature of capital expenditure.
(2) In case where the premises, building, machinery, plant or furniture is partly used or not wholly and exclusively used for the purposes of the business or profession, the deduction allowable under sub-section (1) shall be restricted to the fair proportionate part thereof as determined by the Assessing Officer, having regard to the usage for the purposes of the business or profession.

- Current repairs - Sarvarna Spinning Mill case (2007) repair expense is on preserving and maintaining the existing asset.
- The repair must be current one and not allowed to accumulate, which may lead to be capital expenditure.

- Current repairs - repairs which are to be attended when need arises from businessman's POV.
- Not allowed to fall into arrears or accumulation.
- Current repairs are not necessarily petty.
- Repairs presupppose injury. It is different from maintenance.

- Renewal refers to substantially reconstructed.

★ Capital Receipts v. Revenue Receipts : Tests

Capital Receipts	Revenue Receipts
- Not taxable	- presumed taxable
- presumptively exempt	- presumtively taxable

- Both are not defined in the Act.
- Act charges "capital gains" under sec 67

⇒ CIT v. Shaw Wallace & Co. (1932)
"income is a recurring produce of a source, ≠ capital is the source.
fruit → income
tree → capital
"Acquisition of Concern v. Carrying on the Concern Test"

** Enduring Benefit Test

Bikaner Gypsum v. CIT Rajasthan

Court observed that in the great diversity of human affairs and the complicated nature of business opera- tion, it is difficult to lay down a test which would apply to all situations. One has, therefore, to apply the criteria from the business point of view in order to determine whether on fair appreci- ation of the whole situation the expenditure incurred for a particular matter is of the nature of capital expenditure or a revenue expenditure. The Court laid down a simple test for determining the nature of the expenditure. It observed:

Enduring benefit

the expenditure is made for acquiring or bringing into existence an asset or advantage for the enduring benefit of the business it is properly attributable to capital and is of the nature of capital expenditure. If on the other hand it is made not for the purpose of bringing into exist- ence any such asset or advantage but for running the busi- ness or working it with a view to produce the profits it is a revenue expenditure. If any such asset or advantage for the enduring benefit of the business is thus acquired or brought into existence it would be immaterial whether the source of the payment was the capital or the income of the concern or whether the payment was made once and for all or was made periodically. The aim and object of the expenditure would determine the character of the expenditure whether it is a capital expenditure or a revenue expenditure."

07/10/26

- Capital v. Revenue
  - Revenue is usually recurring.
  - Capital is for capacity increase
  - Nature of expense qua nature of business
  - Expense qua yield (does expense increase the cash flow or maintains it)

- Alembic Chemical v. CIT Gujarat 1989
  - No single test of determination
  - "Once for all" logic not enough to prove the the expenditure is capital.

- State of the art in some research areas is of high priority. Nature of business to be assessed.

- Know-how - non-partibility, confidentiality, secrecy.
- Cannot be equated to an acquisition.

- The expense for improvement of the existing profit-earning process is revenue in nature.

- Eimco KCP v. CIT 2000 SC

- One of the promoters paid in cash-in-kind.
- Provided the know-how during incorporation.

Note: Do First 7 cases in the course outline.

☆ Sec. 31 Bad Debt

2) Any amount of bad debt, or part of it, in the tax year in which such amount is written off as irrecoverable in the accounts of the assessee, shall be allowed as deduction in computation of income chargeable under section 26, subject to the following conditions:—
(a) it has been taken into account in computing the income of the assessee of the tax year in which it is written off, or any earlier tax year, or represents the money lent in the ordinary course of the business of banking or money lending which is carried on by the assessee;
(b) if the amount ultimately recovered on any such debt or part of debt is less than the difference between the debt or part and the amount so deducted, the deficiency shall be deductible in the tax year in which the ultimate recovery is made;

- In tax law -

- debt: money given by assessee as credit

e.g. - Printing press gets printing contract from publisher.
- Publisher says they it will pay after 90 days.
- As soon as the order is delivered, the printing press adds that amount as its income

in the account. It pays the tax. But publisher does not pay for a year or so.
- So next year, the printing press can add that income (which was never accrued) as bad debt.

- Provisioning : banking companies are allowed to put provisioning 31(1)
  → Doubtful debt

c) where it relates to an assessee to which sub-section (1) applies,—
(i) only that amount which exceeds the credit balance in the provision for bad and doubtful debts account made under that sub-section shall be allowed as deduction;
(ii) such amount shall be allowed only when the assessee has debited any amount of bad debt or part thereof in that tax year to the provision for bad and doubtful debts account made under that sub-section; and
(iii) the aforesaid account shall be only one such account under sub-section (1) and such account shall be related to all types of advances, including advances made by rural branches.

TY 2025-26 : Provisioning of 100 Cr. ← deduction allowed
2026-27 : Actual bad debt 98 cr. ↑ absorbed here
The 2 cr is taxable

"A bad debt gets set off in the provisioning"

- BD Bharucha v. CIT, Central Bombay
- Kamla Cotton v. CIT
  To claim deduction in respect of bad debt, dept cannot insist upon demonstrative proof that debt became bad. No need for assessee to initiate legal proceeding for recovery. Writing off a bad debt is enough.

★ Residuary Deduction: (Sec 34)

- CIT v. Ahmedabad Cotton Mfg 1994

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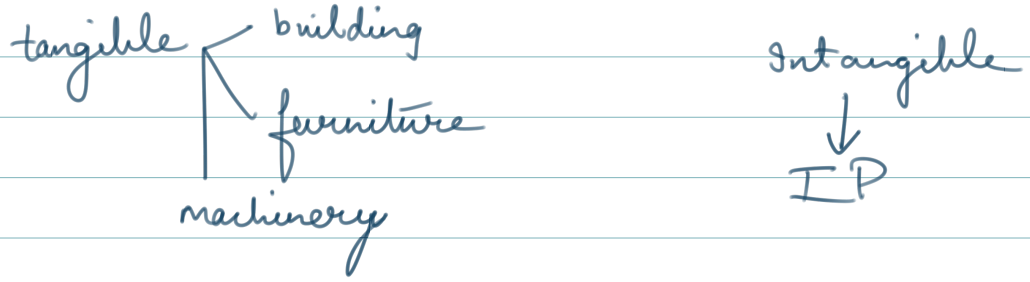
★ Depreciation

- S. 33 r/w S. 41, 39 and 74.



★ To calculate depreciation:

① Straight line method ② Written down value method

- Conditions to claim depreciation:
  <Read in ppt>

- Buildings, Machinery and plant, Furniture

  Test: with which and in which

- Actual use in the accounting year

– use includes trial use as well → As per judicial precedent
Not as per CAs.

↓

the trial production involves procuring machine, hiring training personnel, raw material. Final product is sold in the market and the profit is deducted from the installation costs. Thus, the sale revenue is balanced in the actual cost.

• Sec 33: Deduction of Depreciation

(3) (a) In case of any block of assets, deduction in respect of depreciation shall be such percentage of its written down value, as may be prescribed;

b) when any building, machinery, plant or furniture is partly, or not wholly and exclusively, used for the purposes of the business or profession, the deduction under clause (a) shall be restricted to the fair proportionate part thereof as determined by the Assessing Officer, having regard to the usage of such building, machinery, plant or furniture for the purposes of the business or profession;
(c) when deduction of actual cost in respect of any machinery or plant has been allowed under section 54, no deduction under this sub-section shall be allowed.

↳ mineral oil business

4) The deduction under this section shall be restricted to 50% of the prescribed rate, if such asset, being asset referred to in sub-sections (2) and (3) is—
(a) acquired by the assessee during the tax year; and
(b) put to use for the purposes of business or profession for less than one hundred and eighty days in that tax year

↓

180 days are calculated starting from when the machine is put to use. Acquiring the machine happens far before usually, so that date is redundant.

(5th Oct is an imp date, put to use after this

(5) The aggregate deduction in respect of depreciation allowable to the predecessor and successor in cases of succession under section 70(1)(zd) or (ze) or (zf), or section 313, or to the amalgamating and the amalgamated company in the case of amalgamation, or to the demerged and resulting company in the case of demerger, as the case may be, for any tax year, shall not exceed the deduction calculated at the prescribed rates under this section as if the succession, amalgamation or demerger had not taken place, and such deduction shall be allowed on pro rata basis based on number of days for which assets were used by the following:—
(a) predecessor and successor, in case of such succession; or
(b) amalgamating company and the amalgamated company in case of an amalgamation; or
(c) demerged company and the resulting company in case of a demerger.

4/10/26 → A + B → merger → C
Depreciation is calculated before merger
A → 20 Lakh
B → 30 Lakh
} for year
Divide by 365 and get pro rata, multiply by no. of days the companies operated

separately. That is their depreciation for each.

Remaining amount is claimed by 'C'.

(6) Where a building, not owned by the assessee, is held on lease or by any other right of occupancy is used for the purposes of business or profession of the assessee, and if any capital expenditure is incurred by the assessee for the purposes of business or profession on construction of any structure or any work by way of renovation, extension or improvement to such building, then such structure or work shall be treated as a building owned by the assessee for the purposes of this section.

(expense is not considered of capital nature)

(7) The provisions of this section shall apply whether or not the assessee has claimed deduction for depreciation in computing his total income.

To avoid tax planning. Businesses do not earn profits from First year. This provision makes it mandatory that assessee does not keep hoarding the depreciation for time when the profit increases.

(8) In addition to deduction under sub-section (3), additional deduction in respect of depreciation for any new machinery or plant shall be allowed, when—
(a) the assessee is engaged in the business of manufacture or production of any article or thing or in the business of generation, transmission or distribution of power;
(b) the assessee acquires and installs the new machinery or plant;
(c) the new machinery or plant is first put to use by the assessee for the purposes of business; and
(d) the new machinery or plant (not being a ship or an aircraft)—
(i) was not used either within or outside India by any other person before its installation by the assessee;
(ii) is not installed in any office premises or any residential accommodation, including accommodation in the nature of a guest house;
(iii) is not in the nature of any office appliances or road transport vehicle; or
(iv) is not an asset on which the whole of the actual cost is allowed as a deduction (whether by way of depreciation or otherwise) in computing the income under the head "Profits and gains of business or profession" of any tax year.

ACs excluded (Here)

(10) The difference between the written down value and the moneys payable including the scrap value, if any, for any tangible asset in respect of which depreciation is claimed and allowed under sub-section (2), shall be allowed as deduction when—
(a) such asset is sold, discarded, demolished or destroyed in the tax year not being the tax year in which it is first put into use;
(b) the moneys payable including the scrap value, if any, is less than its written down value; and
(c) such deficiency is actually written off in the books of account of the assessee.

(9) The additional deduction in respect of depreciation referred to in sub-section (8) shall be—
(a) 20% of the actual cost of the new machinery or plant in the tax year when it is acquired and put to use, subject to the provisions of clause (b); or
(b) 10% of the actual cost, if the new machinery or plant is acquired and put to use for less than one hundred and eighty days in the relevant tax year, and 10% of the actual cost shall be allowed in the immediately succeeding tax year.

★ Sec 41: Written down value

First year → Opening WDV = Actual cost
− revenue expenses
Closing WDV
↓
Opening WDV for next tax year

Closing WDV = Opening WDV + Cost of additions
− Sale proceeds, subject to limits
− other prescribed Adjustments

c) in case of block of assets, the written down value computed in the following manner:
[(A – D) + B – C] – E, where
A = the written down value of the block of assets in the immediately preceding tax year;
B = actual cost of any asset falling within that block, acquired during the tax year;
C = moneys payable together with scrap value, if any, in respect of any asset falling within the block, which is sold, transferred, demolished, destroyed or discarded during the tax year, where "C" shall not exceed (A – D) + B;
D = depreciation actually allowed in respect of block of assets in relation to the said immediately preceding tax year;
E = in the case of a slump sale, the actual cost of the asset falling within that block as reduced by—
(i) depreciation actually allowed in respect of tax year commencing on 1st April, 1986 or any earlier tax year; and
(ii) depreciation allowable for tax year commencing on or after 1st April, 1987 under this Act or under the Income-tax Act, 1961 (43 of 1961), as if such asset was the only asset in the relevant block of asset.

✱ Slump sale

(10) The difference between the written down value and the moneys payable including the scrap value, if any, for any tangible asset in respect of which depreciation is claimed and allowed under sub-section (2), shall be allowed as deduction when—
(a) such asset is sold, discarded, demolished or destroyed in the tax year not being the tax year in which it is first put into use;
(b) the moneys payable including the scrap value, if any, is less than its written down value; and
(c) such deficiency is actually written off in the books of account of the assessee.

Actual cost - 10 lakh
Closing WDV - 8 lakh
Sale val

✱ Unabsorbed Depreciation :

(11) (a) Where the profits and gains chargeable for the tax year before allowing the deduction under sub-sections (1) to (10) is less than such allowable deduction, then—
(i) if such profits and gains is not a loss, the deduction under sub-sections (1) to (10) shall be allowed to the extent of the available profits and gains; (upto zero)
(ii) if such profits and gains is a loss, no deduction under sub-sections (1) to (10) shall be allowed;

profit cannot be less than depreciation

Indefinite carrying forward

(b) the amount of deduction which has not been allowed under clause (a) shall be added to the allowable deduction under this section, whether available or not, for the succeeding tax year and the total amount shall be deemed to be eligible for deduction in that year, and so on for the succeeding tax years;

and
(c) the provisions of this sub-section shall be subject to the provisions of sections 112(3) and 113(4).

Business A = profit Business B = loss

A absorbs the depreciation of B.
Remaining part gets carried over.

★ Slump Sale :

- Short term capital gain

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2) If, during the tax year, the full value of consideration received or accruing for the transfer of one or more assets in a block of assets exceeds the total of the following:—
(a) expenditure incurred wholly and exclusively in connection with such transfer;
(b) the written down value of the block of assets at the start of the tax year;
and
(c) the actual cost of any asset falling within the block of assets acquired during the tax year,
such excess shall be deemed to be capital gains arising from the transfer of short-term capital assets.

WDV = 0 , Sale value = 10k
↓
short term c.g.

Long term capital gain

Special provision for computation of capital gains in case of slump sale.
77. (1) Any profits or gains arising from the slump sale effected in the tax year shall be chargeable to income-tax as long-term capital gains and shall be deemed to be the income of the tax year in which the transfer took place, subject to the provisions of sub-section (2).
(2) The profits and gains arising from a slump sale involving the transfer of a capital asset, being one or more undertakings or divisions owned and held by an assessee for thirty-six months or less, immediately before the date of its transfer, shall be treated as short-term capital gains.